CONFIDENTIAL — SUBJECT TO LEGAL PROFESSIONAL PRIVILEGE

HARTWELL PHARMA LIMITED v TESSARACT BIOREAGENTS LIMITED

Claim No. CL-2026-000118

ADVICE ON THE MERITS

Introduction

1. I am asked to advise Hartwell Pharma Limited ("Hartwell") on the merits of its claim against Tessaract Bioreagents Limited ("Tessaract") arising from the supply of out-of-specification API in batch TX-HX218-0461, and in particular on (i) liability, (ii) the central question whether the clause 14 liability cap applies, and (iii) quantum and recoverability of the clinical-delay losses.

2. In my opinion Hartwell has a strong claim on liability. The more finely balanced questions are whether the change-control breach was 'deliberate' so as to disapply the £250,000 cap under clause 14.4, and whether the clinical-delay and standby costs are recoverable as a matter of remoteness.

Liability

3. Tessaract has admitted both that it substituted the 4-chloro intermediate supplier for the Batch and that it gave no change-control notification. On the evidence, the impurity is a process-related degradant traceable to that substitution, a conclusion supported by Hartwell's investigation and the Wraysbury report. The non-conformity with Schedule 3 and the breach of clause 9.3 are, in my view, very likely to be established. I assess Hartwell's prospects on breach at around 80%.

4. Tessaract's pleaded case that the Batch was 'compliant on the parameters tested' does not answer the claim: the contractual obligation in clause 4.1 is to conform to specification, not merely to pass the methods Tessaract chose to run. Its suggestion that Hartwell's own process contributed to the impurity is, on the current evidence, speculative, though it will require careful factual and expert evidence to close off.

The clause 14 cap

5. This is the issue of greatest commercial significance, since the difference between the cap applying and not applying is the difference between a recovery limited to £250,000 and a recovery of the full loss of some £3.2 million.

6. Clause 14.4 disapplies the cap for liability 'arising from a deliberate breach' of the change-control obligations. Tessaract contends the substitution was an operational decision taken in good faith and not 'deliberate'. In my view the better construction is that a breach is 'deliberate' where the act constituting the breach (here, changing the supplier without notification) is done deliberately, irrespective of whether the contracting party appreciated that it amounted to a breach. Tessaract plainly chose to change supplier and chose not to notify. On that construction, which I consider the stronger, the cap does not apply. I would put Hartwell's prospects on this issue at around 60–65%; it is the issue most likely to be appealed.

7. Even if 'deliberate' imports knowledge of breach, there is a respectable argument that an experienced contract manufacturer must have known that substituting a starting-material supplier engaged change control. Disclosure of Tessaract's internal records and its dealings with Reyland will be important here.

Quantum and remoteness

8. The wasted-manufacturing, replacement-API and investigation heads (about £2.21m) are in my view plainly recoverable as the natural consequence of supplying defective API. The clinical-delay and site-standby costs (£958,400, now £988,400 as amended) are more exposed to a remoteness and mitigation

challenge, though I consider them recoverable given that supply of conforming API for a clinical programme was the very purpose of the Agreement and the consequences of a failed batch would have been within the parties' contemplation. I would not discount these heavily but would advise allowing a contingency.

9. Overall I assess Hartwell's prospects of recovering substantially more than the £250,000 cap at around 60%, and its prospects of recovering the great bulk of the pleaded sum at trial at around 55–60%, with liability itself being strong. The case is a good candidate for mediation, and Tessaract's willingness to mediate should be taken up while preparing firmly for trial.

Conclusion and next steps

10. I advise that Hartwell (a) proceed to serve the amended Particulars and Schedule of Loss; (b) pursue focused disclosure of Tessaract's change-control and Reyland records; (c) instruct a single joint-discipline expert in analytical chemistry/GMP; and (d) engage constructively with mediation. I am happy to advise further in conference.

HARRIET STANFORD

Eldon Chambers, London EC4Y | 28 February 2026